Valuation of goodwill

Description of the Matter

As disclosed in Note 8, the Company had goodwill of $10.4 billion at September 30, 2024. As discussed in Note 1 to the consolidated financial statements, goodwill is tested for impairment annually as of the first day of the fourth fiscal quarter, or more frequently, if an event occurs or circumstances change that would more likely than not reduce fair value below carrying value. The Company's goodwill is initially assigned to its reporting units as of the acquisition date. The Company first assesses qualitative factors to determine whether it is more likely than not that the fair value of a reporting unit is less than its carrying value. If the Company determines the qualitative assessment is not sufficient to conclude on whether it is more likely than not that the fair value is less than the carrying value, a quantitative impairment test is performed. The company may also elect to bypass the qualitative assessment and perform a quantitative test for any or all reporting units. The Company performed a quantitative assessment on the goodwill at 14 of its reporting units. As part of the quantitative assessment, the Company determines the fair value of the reporting units using a discounted cash flow valuation model.

Auditing management's quantitative impairment assessment was complex and judgmental for certain of the 14 reporting units due to the significant estimation required to determine fair value. In particular, the fair value estimates were sensitive to significant assumptions, such as changes in the discount rate, revenue growth rates and EBITDA margins, which are affected by expectations about future market or economic conditions.

How We Addressed the Matter in Our Audit

We obtained an understanding, evaluated the design and tested the operating effectiveness of controls over the Company's impairment process, including controls over management's review of the valuation model and the significant assumptions underlying the fair value determination, as described above.

To test the fair values of the Company's reporting units, our audit procedures included, among others, assessing the use of the discounted cash flow valuation model and testing the significant assumptions discussed above and underlying data used by the Company in its analyses for certain of the 14 reporting units evaluated using the quantitative assessment. We utilized internal valuation specialists in assessing the fair value methodologies applied and evaluating the reasonableness of certain assumptions selected by management in the determination of the fair values of certain of the 14 reporting units. We compared the significant assumptions used by management to current industry and economic trends, recent historical performance, and other relevant factors. We performed sensitivity analyses of significant assumptions to evaluate the changes in fair values that would result from changes in the assumptions.

/s/ Ernst & Young LLP
We have served as the Company's auditor since 2004.

Cleveland, Ohio
November 7, 2024

TRANSDIGM GROUP INCORPORATED

CONSOLIDATED BALANCE SHEETS
AS OF SEPTEMBER 30, 2024 AND 2023
(Amounts in millions, except share amounts)

	2024	2023
ASSETS		
CURRENT ASSETS:		
Cash and cash equivalents	$ 6,261	$ 3,472
Trade accounts receivable—Net	1,381	1,230
Inventories—Net	1,876	1,616
Prepaid expenses and other	511	420
Total current assets	10,029	6,738
PROPERTY, PLANT AND EQUIPMENT—NET	1,488	1,255
GOODWILL	10,419	8,988
OTHER INTANGIBLE ASSETS—NET	3,446	2,747
OTHER NON-CURRENT ASSETS	204	242
TOTAL ASSETS	$25,586	$19,970
LIABILITIES AND STOCKHOLDERS' DEFICIT		
CURRENT LIABILITIES:		
Current portion of long-term debt	$ 98	$ 71
Short-term borrowings—trade receivable securitization facility	486	349
Accounts payable	323	305
Dividends payable	4,216	—
Accrued and other current liabilities	1,216	854
Total current liabilities	6,339	1,579
LONG-TERM DEBT	24,296	19,330
DEFERRED INCOME TAXES	766	627
OTHER NON-CURRENT LIABILITIES	468	412
Total liabilities	31,869	21,948
TD GROUP STOCKHOLDERS' DEFICIT:		
Common stock—$.01 par value; authorized 224,400,000 shares; issued 61,904,833 and 60,995,513 at September 30, 2024 and September 30, 2023, respectively	1	1
Additional paid-in capital	2,819	2,440
Accumulated deficit	(7,362)	(2,621)
Accumulated other comprehensive loss	(42)	(98)
Treasury stock, at cost; 5,688,639 shares at September 30, 2024 and September 30, 2023, respectively	(1,706)	(1,706)
Total TD Group stockholders' deficit	(6,290)	(1,984)
NONCONTROLLING INTERESTS	7	6
Total stockholders' deficit	(6,283)	(1,978)
TOTAL LIABILITIES AND STOCKHOLDERS' DEFICIT	$25,586	$19,970

See notes to consolidated financial statements

TRANSDIGM GROUP INCORPORATED

CONSOLIDATED STATEMENTS OF INCOME
(Amounts in millions, except per share amounts)

	Fiscal Years Ended September 30,		
	2024	2023	2022
NET SALES	$ 7,940	$ 6,585	$ 5,429
COST OF SALES	3,268	2,743	2,330
GROSS PROFIT	4,672	3,842	3,099
SELLING AND ADMINISTRATIVE EXPENSES	980	780	748
AMORTIZATION OF INTANGIBLE ASSETS	161	139	136
INCOME FROM OPERATIONS	3,531	2,923	2,215
INTEREST EXPENSE—NET	1,286	1,164	1,076
REFINANCING COSTS	58	56	1
OTHER (INCOME) EXPENSE	(28)	(13)	11
INCOME FROM CONTINUING OPERATIONS BEFORE INCOME TAXES	2,215	1,716	1,127
INCOME TAX PROVISION	500	417	261
INCOME FROM CONTINUING OPERATIONS	1,715	1,299	866
INCOME FROM DISCONTINUED OPERATIONS, NET OF TAX	—	—	1
NET INCOME	1,715	1,299	867
LESS: NET INCOME ATTRIBUTABLE TO NONCONTROLLING INTERESTS	(1)	(1)	(1)
NET INCOME ATTRIBUTABLE TO TD GROUP	$ 1,714	$ 1,298	$ 866
NET INCOME APPLICABLE TO TD GROUP COMMON STOCKHOLDERS	$ 1,481	$ 1,260	$ 780
Earnings per share attributable to TD Group common stockholders:			
Earnings per share from continuing operations—basic and diluted	$ 25.62	$ 22.03	$ 13.38
Earnings per share from discontinued operations—basic and diluted	—	—	0.02
Earnings per share	$ 25.62	$ 22.03	$ 13.40
Cash dividends declared per common share	$ 110.00	$ —	$ 18.50
Weighted-average shares outstanding:			
Basic and diluted	57.8	57.2	58.2

See notes to consolidated financial statements